

CHAPTER 12

Geographical Spread Trading

Arbitrage and geographical price differentials — profiting from what the same barrel is worth in two different places.



ONE BARREL, TWO PRICES

The same product is worth different amounts in different places

Oil and its products are physical: they have to be shipped, stored and delivered somewhere specific. Because every region has its own balance of supply and demand, the price of the very same barrel can differ from one hub to the next — and that gap is a tradable opportunity.

A spread between places

A geographical spread is the price difference for one product between two locations — say diesel in Rotterdam vs the US Gulf Coast.

The arbitrage

If that gap is bigger than the cost of moving the cargo, a trader can buy cheap, ship, and sell dear — locking in the difference.

Self-correcting

The flows that capture the gap also close it: the cheap place rises, the dear place falls, until the spread matches the freight.

THE DEFINITION

What a geographical spread is

It is simply the price of one product in location A minus its price in location B — the value the market places on where a barrel sits, not just what it is.

Same product, two places

Gasoline is gasoline — but Singapore gasoline and New York gasoline trade at their own prices, set by their own local balances.

The spread is a location premium

A positive spread means buyers in one hub are paying up for barrels that physically sit somewhere else.

It moves on local news

A refinery outage, a cold snap or a port closure can widen a spread in one region while leaving the other untouched.

It can be traded two ways

Physically — by moving a real cargo — or on paper, by trading the two regional price markers against each other.

THE DRIVERS

Why prices differ by location

If barrels could teleport for free, every hub would print the same price. They can't — so local conditions pull regional prices apart.



Local supply & demand

A region short of product bids its price up; one in surplus lets it fall. The imbalance is the root of every spread.



Transport & distance

Moving a cargo costs money and time. The further apart two hubs are, the wider a spread must be before it pays to ship.



Refining & logistics

Outages, pipeline limits and storage constraints can strand product in one place and starve another.



Specs & regulation

Different sulfur limits, blends and seasonal grades mean a cargo legal in one market may not be sellable in another.

THE CORE TRADE

Arbitrage — buy cheap here, sell dear there

The classic geographical trade: if the price gap between two hubs is wider than the cost of moving a cargo between them, the difference is yours to capture.



The whole trade lives in one inequality: profit only exists while **spread > freight**. The freight cost is the hurdle every geographical trade must clear.

OPEN OR SHUT

The arbitrage window

Traders talk about the arb being "open" or "closed". It is open whenever the spread clears the freight cost — and shut the moment it doesn't.

Arb OPEN ✓



Spread \$7 beats freight \$4 — it pays to ship. Cargoes start to sail and the trade is on.

Arb CLOSED 🚫



Spread \$3 is below freight \$4 — moving a cargo would lose money. Flows stop and traders wait.

THE MOVING HURDLE

Freight is the swing variable

The arb hurdle is not fixed. Freight rates move daily — and a jump in shipping costs can slam an arb shut even if the price spread hasn't changed at all.

Priced in Worldscale

Tanker freight is quoted against a benchmark (Worldscale), so the same voyage costs more or less as the market tightens.

Vessel availability

When ships are scarce — diversions, congestion, sanctions reshuffling fleets — rates spike and arbs close.

Route and distance

Longer hauls (e.g. around Africa instead of through a canal) burn more fuel and time, raising the hurdle the spread must clear.

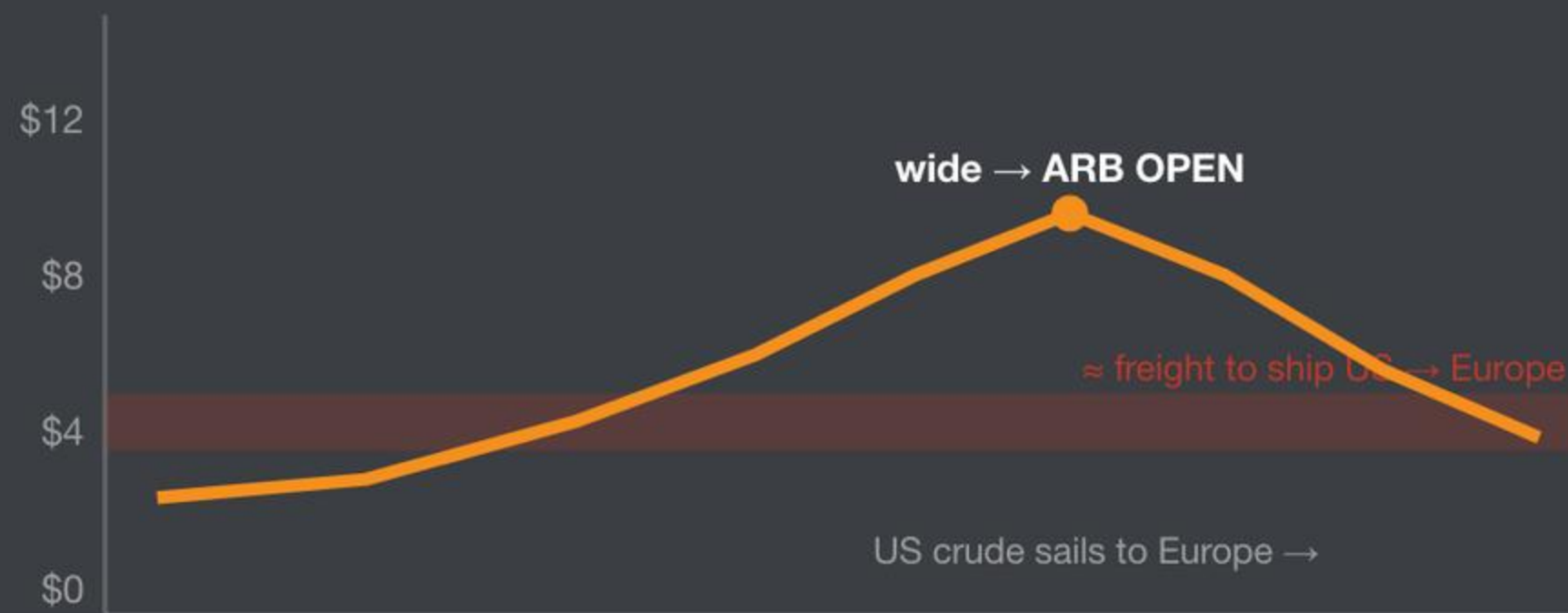
It cuts both ways

Cheap freight opens arbs that were shut; expensive freight strands cargoes that looked profitable yesterday.

THE CLASSIC EXAMPLE · BRENT – WTI

The transatlantic differential

BRENT MINUS WTI, \$/BBL



Two crude benchmarks, one ocean

WTI prices US crude inland; Brent prices seaborne crude in Europe. Their spread is the transatlantic arbitrage.

When it widens

A wide-enough Brent–WTI gap covers the freight to Europe — and US barrels load onto tankers heading east.

When it narrows

Those very flows lift WTI and ease Brent, pulling the spread back toward the cost of the voyage.

WHERE THE CARGOES FLOW

The global product trade lanes

Geographical spreads stitch the world's hubs together. When one runs short, cargoes sail in from wherever the arb has opened.

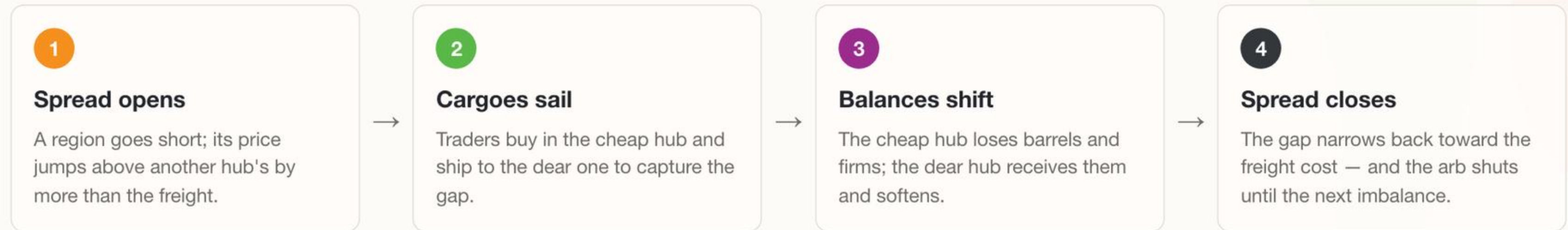


The US Gulf Coast exports; **ARA (Amsterdam–Rotterdam–Antwerp)** stores and redistributes for Europe; Singapore prices Asia. Arbs between them never sit still for long.

THE FEEDBACK LOOP

How the arb closes itself

An open arb carries the seed of its own ending. The very act of shipping to capture the spread is what erases it.



KNOW THE DOWNSIDE

The risks of the geographical trade

The arb looks like free money on paper. In practice, a cargo spends weeks at sea — and a lot can move against you before it arrives.

The window can close in transit

You commit to a voyage of weeks; if the spread collapses before you arrive, the profit can vanish or turn into a loss.

Freight risk

A jump in shipping costs after you've fixed the trade eats directly into — or wipes out — the margin.

Demurrage & delays

Port congestion and waiting time rack up demurrage charges that were never in the original calculation.

Quality & spec mismatch

A cargo can arrive only to find it doesn't meet the destination's spec — forcing a discount or a re-route.

CONCLUSION — TRADING PLACE, NOT JUST PRICE

Geography is a price — and a tradable one.

Spreads come from imbalance

Local supply and demand pull regional prices apart — that gap is the geographical spread.

Freight is the hurdle

The arb is only open while the spread beats the cost of moving the cargo between hubs.

The flow closes the gap

Shipping to capture a spread is exactly what narrows it — the market self-corrects.